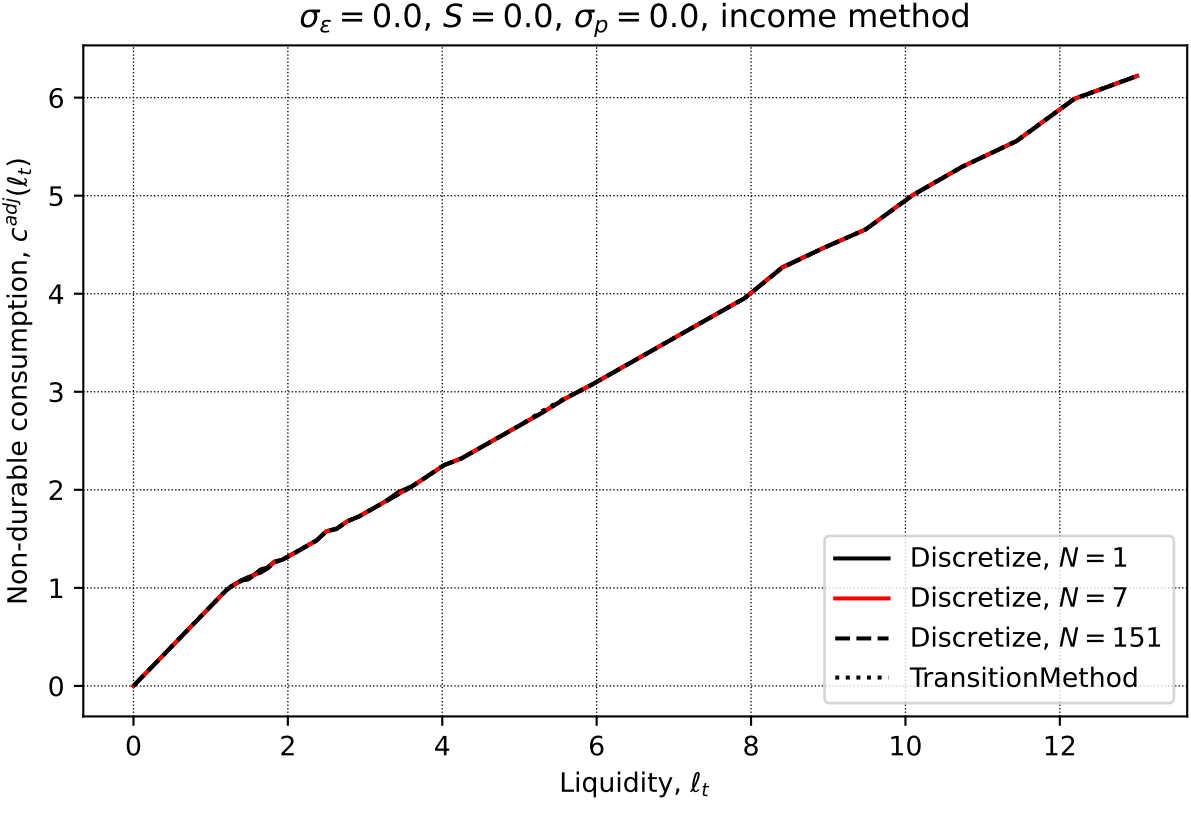
$\sigma_\varepsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, income method
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0
1
2
3
4
5
6
0
2
4
6
8
10
12
Discretize, $N = 1$
Discretize, $N = 7$
Discretize, $N = 151$
TransitionMethod